

SENATE CHAMBER

STATE OF OKLAHOMA

DISPOSITION

☒ FLOOR AMENDMENT

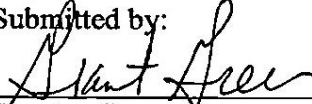
No. 1

☐ COMMITTEE AMENDMENT

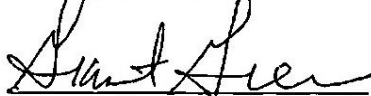
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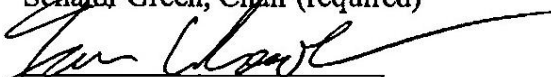
I move to amend House Bill No. 4338, by substituting the attached floor substitute (Request #4013) for the title, enacting clause, and entire body of the measure.

Submitted by:


Senator Green

I hereby grant permission for the floor substitute to be adopted.


Senator Green, Chair (required)


Senator Woods


Senator Kern

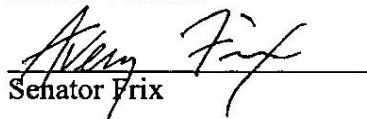
Senator McIntosh

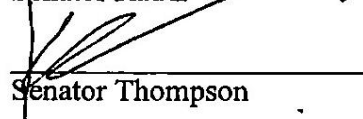
Senator Boren

Senator Murdock

Senator Dossett

Senator Rader


Senator Frix


Senator Thompson

Senator Jett

Senator Paxton, President Pro Tempore

Senator Daniels, Majority Floor
Leader

Note: Energy committee majority requires six (6) members' signatures.

Green-CN-FS-HB4338

4/29/2026 8:06 PM

(Floor Amendments Only)

Date and Time Filed:

4-29-26 8:29 pm *fd*

☐ Untimely

☐ Amendment Cycle Extended

☐ Secondary Amendment

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

FLOOR SUBSTITUTE
FOR ENGROSSED

HOUSE BILL NO. 4338

By: Moore, Newton, and Bashore
of the House

and

Green of the Senate

FLOOR SUBSTITUTE

An Act relating to Oklahoma Brine Development Act;
making provisions applicable after certain date;
amending 17 O.S. 2021, Section 501, which relates to
purpose; modifying legislative intent; amending 17
O.S. 2021, Section 502, which relates to definitions;
updating definitions; defining terms; amending 17
O.S. 2021, Section 503, which relates to Corporation
Commission jurisdiction; modifying certain exception;
providing limitation of liability; construing
provisions; amending 17 O.S. 2021, Section 504, which
relates to unitization of brine rights; requiring the
filing of certain application; updating statutory
references; modifying description of certain unit;
amending 17 O.S. 2021, Section 506, which relates to
findings of the Commission; modifying description of
evidential findings; modifying description of certain
unit; requiring orders remain applicable and serve as
guidelines; amending 17 O.S. 2021, Section 507, which
relates to delineation of unit area; modifying
certain description; removing single source of supply
requirement; authorizing produced water unit to be
certain size; limiting the source of supply;
authorizing Corporation Commission to make certain
determination; providing for the sharing and
allocation of extracted elements; requiring operator
maintain certain records; authorizing the commingling
of produced water; providing for determination of
gross production of extracted elements; amending 17
O.S. 2021, Section 508, which relates to plan of

1 unitization; modifying description of certain unit;
2 modifying plan requirements; modifying description of
3 certain owners; stating certain provisions to be
4 inapplicable to formation of a produced water unit;
5 authorizing possession and processing of produced
6 water if certain conditions are met; requiring filing
7 of application within specific time frame;
8 authorizing proposed operator to seek emergency
9 relief; requiring granting of relief upon certain
10 showing; granting proposed applicant right to collect
11 certain proceeds; requiring set royalty be held in
12 suspense until final order establishes unit;
13 detailing requirements for royalty rate; amending 17
14 O.S. 2021, Section 510, which relates to increase or
15 decrease of unit area size; modifying description of
16 certain unit; modifying required showing for increase
17 in existing unit size; amending 17 O.S. 2021, Section
18 516, which relates to pre-existing brine, solution
19 gas or brine and solution gas units; updating
20 statutory references; amending 17 O.S. 2021, Section
21 517, which relates to payment of proceeds; modifying
22 language to include produced water; modifying
23 information to be included with certain payments;
24 modifying time frame for which certain proceeds shall
be paid; modifying certain interest rate for which
operator is liable; authorizing certain forms of
payment; amending 17 O.S. 2021, Section 519, which
relates to notice to surface owner of intent to
drill; stating certain provisions to be inapplicable
to formation of a produced water unit; providing for
codification; and declaring an emergency.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law to be codified
in the Oklahoma Statutes as Section 526 of Title 17, unless there is
created a duplication in numbering, reads as follows:

The amendatory provisions of this act shall apply to all brine
unitization applications filed with the Corporation Commission on or
after the effective date of this act, but not otherwise.

1 SECTION 2. AMENDATORY 17 O.S. 2021, Section 501, is
2 amended to read as follows:

3 Section 501. The Legislature finds that it is desirable and
4 necessary to authorize and provide for unitized management,
5 operation, and further development of brine and associated solution
6 gas, to the end that a greater ultimate recovery of brine and
7 solution gas may be had, waste prevented, and the correlative rights
8 of owners therein be protected. In addition, the Legislature also
9 finds that it is a desirable public policy and necessity to reduce
10 disposal of brine water, also referred to as produced water, from
11 oil and gas operations, defined as oil and gas produced water and
12 waste by Section 86.7 of Title 52 of the Oklahoma Statutes, and
13 encourages reusing, recycling, and reclaiming such water and
14 extraction of its constituent elements included therein. It is
15 further found to be in the public interest to foster, encourage and
16 promote the development and production in the State of Oklahoma of
17 brine, produced water, and solution gas and to authorize and provide
18 for the operation and development of unitized brine, produced water,
19 and solution gas properties, and to authorize the Corporation
20 Commission to regulate brine, produced water utilized for the
21 purpose of extracting its constituent elements included therein, and
22 solution gas production. Produced water subject to the jurisdiction
23 of the Oil and Gas Produced Water and Waste Recycling and Reuse Act,
24 Section 86.6 et seq. of Title 52 of the Oklahoma Statutes, shall not

1 be governed by the Oklahoma Brine Development Act unless the
2 produced water is intended to be or is processed for the commercial
3 extraction and sale of constituent elements, or any one of them as
4 set forth in Section 86.8 of Title 52 of the Oklahoma Statutes.

5 SECTION 3. AMENDATORY 17 O.S. 2021, Section 502, is
6 amended to read as follows:

7 Section 502. As used in this act:

8 1. "Commission" ~~shall mean~~ means the Corporation Commission of
9 Oklahoma;

10 2. "Person" ~~shall include~~ means any individual, partnership,
11 corporation or association of whatever character;

12 3. ~~"Common source of supply"~~ Brine common source of supply
13 ~~shall include that~~ means the area ~~which that~~ is underlain, or which,
14 from geological or other scientific data, or from drilling
15 operations, or other evidence, appears to be underlain by a common
16 accumulation of brine; ~~provided, that, if.~~ If any ~~such~~ area is
17 underlain or appears from geologic or other scientific data, or from
18 drilling operations, or from other evidence to be underlain by more
19 than one common accumulation of brine separated from each other by a
20 strata of earth and not connected with each other, then ~~such the~~
21 area, as to each said common accumulation of brine, shall be deemed
22 a separate brine common source of supply. In either circumstance of
23 a brine production unit or produced water unit, brine may be
24 produced from multiple common sources of supply from one or more oil

1 and gas wells or one or more brine wells, which shall all be
2 considered the common source of supply for purposes of this act.
3 Brine common source of supply specifically does not include or mean
4 "common source of supply" as that term is defined by Section 86.1 of
5 Title 52 of the Oklahoma Statutes;

6 4. "Brine" ~~shall mean~~ means subterranean saltwater and all of
7 its constituent parts and chemical substances therein contained,
8 including, but not limited to bromine, magnesium, potassium,
9 lithium, boron, chlorine, iodine, calcium, strontium, sodium,
10 sulphur, barium or other chemical substances produced with or
11 separated from ~~such~~ the saltwater, and prior to its extraction from
12 the ground, is the property of the owner of the surface estate, as
13 defined in paragraph 9 of Section 802 of Title 52 of the Oklahoma
14 Statutes. ~~Brine produced as an incident to the production of oil or~~
15 ~~gas, unless such brine is saved or sold for the purposes of removing~~
16 ~~chemical substances therefrom, shall not be considered brine for the~~
17 ~~purposes of this act.~~ Gas, whether found in solution or otherwise,
18 shall not be included within the meaning of the term "brine";

19 5. "Brine owner" ~~shall mean~~ means any person entitled to share
20 in the proceeds from the sale of brine production or produced water,
21 or the constituent elements or reclaimed water which are recovered
22 from the brine production or produced water, or the effluent.
23 Pursuant to subsection C of Section 86.7 of Title 52 of the Oklahoma
24 Statutes, nothing contained in the Oil and Gas Produced Water and

1 Waste Recycling and Reuse Act shall be construed to prevent the
2 owner of the surface estate from being considered the brine owner;

3 6. "Brine well" means a well specifically drilled or operated
4 for the primary purpose of extracting brine and shall not include a
5 well drilled or operated for the primary purpose of producing oil or
6 gas;

7 7. "Solution gas" shall mean means all gas produced from brine
8 wells from the brine common source of supply within the brine
9 production unit area;

10 7. 8. "Solution gas owner" shall mean means any person entitled
11 to share in the proceeds from the sale of solution gas;

12 8. 9. "Owner" or "owners" means, unless a more specific term is
13 used, ~~shall mean~~ any person or entity who qualifies as either a
14 brine owner or a solution gas owner;

15 9. 10. "Operator" shall mean means a person who:

- 16 a. has the right to drill into and produce from any brine
17 common source of supply and to appropriate that
18 production, either for ~~himself,~~ the operator or for
19 ~~himself~~ the operator and others,
20 b. has the right to extract one or more of the
21 constituent elements of brine or produced water
22 produced as an incident to the production of oil and
23 gas, and
24

1 c. is authorized by the Commission to drill or extract
2 such constituent elements;

3 ~~10.~~ 11. "Effluent" ~~shall mean~~ means the liquid remaining after
4 extraction of the chemical substances from brine or produced water.
5 Notwithstanding any other provision in this act, no contract or
6 arrangement for further extraction of constituent elements or
7 reclamation of the effluent into reclaimed water or any other
8 commercial usage of the effluent shall result in additional costs or
9 delays to the rights of the oil and gas operator to extract and
10 dispose of subterranean water for, or incident to, the exploration,
11 exploitation, or extraction of hydrocarbons. To the extent the oil
12 and gas operator determines at its sole discretion that any such
13 contract or arrangement will result in additional costs or delays to
14 its rights to extract and dispose of subterranean water, such
15 effluent shall be considered oil and gas produced water and waste,
16 subject to the provisions of the Oil and Gas Produced Water and
17 Waste Recycling and Reuse Act;

18 ~~11.~~ 12. "Brine production unit" ~~or "unit" shall mean~~ means each
19 separate specific area of land so designated by order of the
20 Commission for production of brine and associated solution gas ~~and~~
21 ~~the~~ from brine wells, including the related injection of effluent;

22 13. "Produced water unit" means the specific area of land so
23 designated by order of the Commission for the commercial extraction
24 and sale of constituent elements, or any one of the elements, or

1 reclaimed water, from produced water. The Commission, based upon
2 the facts and circumstances, shall determine the size and shape of
3 any produced water unit. Unless a larger size unit is determined to
4 be appropriate under the facts and circumstances, the produced water
5 unit shall be the same size and cover the same geographical area as
6 the spacing or drilling unit or horizontal spacing unit created
7 pursuant to Section 87.1 of Title 52 of the Oklahoma Statutes, the
8 horizontal well unitization created pursuant to Section 87.9 of
9 Title 52 of the Oklahoma Statutes, or the unitized management area
10 created pursuant to Sections 287.1 through 287.15 of Title 52 of the
11 Oklahoma Statutes, of the associated oil or gas well or wells from
12 which the produced water is derived. Each such produced water unit
13 shall be limited to the equivalent same brine common source or
14 sources of supply as the oil and gas common source or sources of
15 supply of the associated oil or gas well from which produced water
16 is being received for the extraction of constituent elements of such
17 brine, unless a different size unit is determined to be appropriate
18 under the facts and circumstances. A produced water unit may be
19 created for and limited to the extraction of a single constituent
20 element or multiple constituent elements. Multiple produced water
21 units may be created and exist for the produced water from the same
22 associated oil and gas well or wells, provided that the applicant
23 for each unit meets the definition of operator provided in this
24 section for the rights to each constituent element sought to be

1 unitized. Furthermore, an applicant may seek to create two or more
2 produced water units by and through the filing of a single
3 Commission cause. Where multiple proposed produced water units are
4 encompassed in a single cause, the applicant may prepare a single
5 form plan of unitization, which if approved by the Commission, shall
6 collectively apply to each individual produced water unit
7 encompassed by the single cause.

8 If the Commission has not previously established a drilling or
9 spacing unit for the oil or gas well or wells from which the
10 produced water is derived, the Commission shall in its discretion
11 determine the size and shape of the produced water unit, taking into
12 consideration all facts and circumstances including, but not limited
13 to, the economics of collection, transportation, and processing
14 produced water to recover any extracted constituent element;

15 ~~12.~~ 14. "Injection well" shall mean means a well authorized by
16 the Commission for the injection of effluent or other solutions; ~~and~~

17 ~~13.~~ 15. "Manufacture" shall mean means the complete process of
18 drilling, completing, equipping and operating production and
19 injection wells and of extracting and packaging brine;

20 16. "Oil or gas well" means a well drilled or operated for the
21 primary purpose of extracting oil or gas as those terms are defined
22 in Title 52 of the Oklahoma Statutes;

23 17. "Associated oil or gas production" means the oil or gas
24 produced from an oil and gas well from which produced water is

1 extracted as an incident to the production of the oil or gas and the
2 produced water is utilized for the purpose of extracting its
3 constituent elements therefrom;

4 18. "Constituent elements" means salts, metals, elements, and
5 other mineralized substances that are naturally occurring and
6 dissolved, entrained, or suspended in subterranean water in situ
7 and, after extraction from the ground, suspended in the brine or
8 produced water, but specifically does not include skim oil or
9 hydraulic fracturing fluid;

10 19. "Extracted constituent element" means any constituent
11 element extracted from the produced water through reconditioning or
12 treating of the produced water by mechanical or chemical processes
13 that is saved and commercially utilized or sold;

14 20. "Produced water" means the subterranean salt water, and the
15 other liquid waste associated with, incidental to, or extracted
16 during oil and gas drilling, completion, or production process.
17 Produced water subject to the jurisdiction of the Oil and Gas
18 Produced Water and Waste Recycling and Reuse Act shall not be
19 governed by the Oklahoma Brine Development Act, unless the produced
20 water is intended to be or is processed for the commercial
21 extraction and sale of the constituent elements, or any one of them;

22 21. "Reclaimed water" means produced water that has been
23 reconditioned or treated by mechanical or chemical processes after
24 the extraction of one or more constituent elements for commercial

1 purposes. Reclaimed water specifically does not include recycled
2 water as that term is defined by Section 86.7 of Title 52 of the
3 Oklahoma Statutes for purposes of the Oil and Gas Produced Water and
4 Waste Recycling and Reuse Act. A party who, for commercial
5 purposes, treats produced water by mechanical or chemical process
6 for the extraction of one or more constituent elements such that the
7 produced water becomes reclaimed water as defined herein shall not
8 be liable in tort or otherwise, before or after custody transfer,
9 for the use, handling, treatment, or processing by another party of
10 such produced water or reclaimed water;

11 22. "Recycler" means a person approved and authorized by the
12 Commission who receives produced water, for the purpose of saving,
13 extracting, reconditioning, or treating the same by mechanical or
14 chemical processes into a reusable form; and

15 23. "Recycling waste" means the noncommercial by-products or
16 residual liquids or solid materials that remain after the recycling
17 or extraction process.

18 SECTION 4. AMENDATORY 17 O.S. 2021, Section 503, is
19 amended to read as follows:

20 Section 503. A. The Corporation Commission is hereby vested
21 with jurisdiction over the following:

22 1. The drilling for ~~and~~ or production of brine for commercial
23 purposes;
24

1 2. Class V injection wells used for the injection or disposal
2 of mineral brines as defined in the federal Safe Drinking Water Act
3 and 40 CFR Part 146; and

4 3. Class V wells used to inject spent brine into the same
5 formation from which it was withdrawn after extraction of halogens
6 or their salts as defined in 40 CFR Part 146.

7 B. The Commission may promulgate ~~such~~ rules that:

8 1. ~~As are~~ Are reasonably necessary to effectuate the purposes
9 of this act, including rules governing the drilling of production,
10 injection or disposal wells and the injection of effluent into
11 underground formations; and

12 2. ~~To ensure~~ Ensure that the drilling, casing and plugging of
13 wells is done in such a manner as to prevent the escape of brine and
14 effluent from one formation to another and to prevent the pollution
15 of fresh water supplies throughout the state.

16 C. The enforcement and adherence to the Oklahoma Brine
17 Development Act shall not apply to nor shall the Corporation
18 Commission have jurisdiction over Class I, III, IV or V wells
19 regulated by the Department of Environmental Quality pursuant to the
20 federal Safe Drinking Water Act and 40 CFR Parts 144 through 148,
21 inclusive, and the Oklahoma Environmental Quality Act.

22 D. Nothing herein shall be construed to obligate the oil and
23 gas operator to engage in constituent mineral extraction.
24

1 E. A party who transfers produced water to another party for
2 the commercial extraction and sale of one or more constituent
3 elements, or to a recycler as defined in paragraph 22 of Section 502
4 of this title, shall not be liable in tort or otherwise, before or
5 after custody transfer, for the use, handling, treatment,
6 processing, or disposition by the receiving party or any subsequent
7 party of such produced water or of any byproducts, residual
8 materials, or waste derived therefrom. This limitation of liability
9 shall apply regardless of whether the transferring party is the
10 operator of the produced water unit, operator of the oil or gas well
11 from which the produced water is derived, a transporter, or a
12 disposal operator. Nothing in this subsection shall be construed to
13 relieve the transferring party of liability for its own acts or
14 omissions occurring prior to the point of custody transfer,
15 including any obligation to comply with applicable environmental
16 laws and regulations governing the handling, storage, and
17 transportation of produced water prior to transfer.

18 SECTION 5. AMENDATORY 17 O.S. 2021, Section 504, is
19 amended to read as follows:

20 Section 504. A. A party desiring to unitize brine or produced
21 water rights shall file with the Corporation Commission an
22 application setting forth a description of the proposed brine
23 production unit or produced water unit area with a map or plat
24 thereof attached. The application shall allege the existence of the

1 facts required to be found by the Commission as provided in Section
2 ~~7~~ 506 of this ~~act~~ title and allege that the party desiring to
3 unitize the brine or produced water rights meets the criteria of
4 subparagraphs a and b of paragraph 10 of Section 502 of this title.

5 The application shall set forth the name and address of each brine
6 owner within the area affected by the application. Each such person
7 shall be a respondent to the application. In an application to
8 enlarge the brine production unit or produced water unit area, brine
9 owners within the existing unit and brine owners in the area to be
10 added to the unit shall be respondents to the application.

11 B. In the event the brine ~~sought to be unitized~~ in a proposed
12 brine production unit is found in association with solution gas, the
13 application shall set forth the name and address of each solution
14 gas owner within the area affected by the application. Each such
15 person shall be a respondent to the application. In an application
16 to enlarge the brine production unit area, solution gas owners
17 within the existing brine production unit and solution gas owners in
18 the area to be added to the brine production unit shall be
19 respondents to the application.

20 C. Every application to establish a brine production unit or
21 produced water unit shall have attached thereto a recommended plan
22 of unitization applicable to the proposed unit area.

23 SECTION 6. AMENDATORY 17 O.S. 2021, Section 506, is
24 amended to read as follows:

1 Section 506. A. If, after proper application and notice, the
2 Corporation Commission in its hearing shall find by substantial
3 evidence that:

4 1. There exists a brine common source of supply or prospective
5 brine common source of supply for brine or produced water;

6 2. Unitized management, operation and further development of
7 the brine common source of supply for brine or produced water from
8 oil or gas wells is reasonably necessary in order to effectively
9 develop the brine ~~common source of supply~~ and allow for the
10 extraction of its constituent elements;

11 3. Unitized operation as applied to such brine common source of
12 supply or produced water is feasible and will prevent waste and,
13 with reasonable probability, will result in greater ultimate
14 recovery of brine and its constituent parts;

15 4. Such unitization is for the common good and will result in
16 the general advantage of the owners of the brine rights within the
17 proposed brine production unit or produced water unit and will
18 protect the correlative rights of the owners within the brine common
19 source of supply or produced water; and

20 5. The creation of a brine production unit or produced water
21 unit will accomplish one or more of the following:

- 22 a. avoid the drilling of unnecessary wells,
- 23 b. prevent waste,
- 24 c. protect correlative rights, ~~or~~

1 d. increase the ultimate recovery of brine from the brine
2 common source of supply and unit covered by the
3 application, or

4 e. allow recovery and extraction of constituent elements
5 from produced water,

6 the Commission shall make a finding to that effect and enter an
7 order creating the brine production unit or produced water unit, and
8 requiring unitized operation of the prospective brine common source
9 of supply or portion thereof described in the order.

10 B. If the Commission in its hearing shall find by substantial
11 evidence that:

12 1. The proposed unit is a brine production unit, and not a
13 produced water unit;

14 2. Solution gas exists within the brine common source of supply
15 or prospective brine common source of supply;

16 ~~2.~~ 3. The production of brine is impossible or impractical
17 without also producing the solution gas; and

18 ~~3.~~ 4. The unitization of the brine common source of supply is
19 impractical or impossible without also unitizing the associated
20 solution gas,

21 the Commission shall make a finding to that effect and shall further
22 provide in its order for the unitization of the solution gas within
23 the brine production unit area.

1 C. Orders of the Commission entered pursuant to Section 87.1 of
2 Title 52 of the Oklahoma Statutes establishing drilling and spacing
3 units for the production of oil, gas or oil and gas shall not be
4 applicable to the drilling of brine wells ~~and~~ or the production of
5 solution gas from a brine production unit established by an order
6 issued pursuant to this act. However, such drilling and spacing
7 orders shall remain applicable to oil or gas wells and associated
8 oil and gas production, and shall serve as general nonmandatory
9 guidelines for establishing the size, shape, and common source of
10 supply of any produced water unit established under this act.

11 SECTION 7. AMENDATORY 17 O.S. 2021, Section 507, is
12 amended to read as follows:

13 Section 507. A. The order of the Corporation Commission shall
14 define the area of the brine common source or sources of supply or
15 portion thereof to be included within the brine production unit or
16 the produced water unit area. ~~Each unit and unit area shall be~~
17 ~~limited to all or a portion of a single common source of supply~~
18 Unless a larger size unit is determined to be appropriate under the
19 facts and circumstances, a produced water unit may be the same size
20 and cover the same geographical area as the spacing or drilling unit
21 or horizontal spacing unit created pursuant to Section 87.1 of Title
22 52 of the Oklahoma Statutes, the horizontal well unitization created
23 pursuant to Section 87.9 of Title 52 of the Oklahoma Statutes, or
24 unitized management area created pursuant to Sections 287.1 through

1 287.15 of Title 52 of the Oklahoma Statutes, of the associated oil
2 or gas well or wells from which the produced water is derived. Each
3 such produced water unit shall be limited to the equivalent common
4 source or sources of supply as the oil and gas common source or
5 sources of supply in the associated oil or gas well from which
6 produced water is being received for the extraction of constituent
7 elements of such produced water, unless the Commission determines
8 that the unitization of multiple brine common sources of supply is
9 necessary to prevent waste or protect correlative rights.

10 B. Brine owners within the brine production unit shall share in
11 the production of brine in the proportion that their acreage bears
12 to total acreage within the unit, unless the Commission, after
13 notice and hearing, shall provide for another method in the unit
14 plan. Solution gas owners within the brine production unit shall
15 share in production of solution gas in the proportion that their
16 acreage bears to total acreage in the unit, unless the Commission,
17 after notice and hearing, shall provide for another method in the
18 unit plan.

19 C. Brine owners within the produced water unit shall share in
20 the extracted constituent element or elements and any reclaimed
21 water derived from the production of produced water in the
22 proportion that their acreage bears to total acreage within the
23 unit, subject to any applicable lease royalty or if unleased, the
24 royalty set forth in the Commission order creating the produced

1 water unit. In the event a produced water unit consists solely of
2 lands situated within a single Corporation Commission-approved
3 multiunit horizontal well created pursuant to Section 87.8 of Title
4 52 of the Oklahoma Statutes, the produced water from such multiunit
5 horizontal well shall be allocated and shared by the brine owners in
6 each unit utilizing the same allocation factors approved by the
7 Commission for allocating the associated oil and gas production to
8 the individual units. The operator shall maintain records
9 reflecting the total number of barrels of produced water received
10 for processing from each oil and gas well and produced water unit.
11 Produced water received from a produced water unit may be commingled
12 with produced water from other produced water units or brine
13 production units for the purpose of extracting constituent elements
14 or reclaimed water. The gross production of constituent elements or
15 reclaimed water obtained from each produced water unit shall be
16 determined by the total volume of comingled produced water received
17 from the associated produced water unit prior to the extraction of
18 any constituent elements, and not by any other metric unless so
19 ordered by the Commission for good cause shown.

20 SECTION 8. AMENDATORY 17 O.S. 2021, Section 508, is
21 amended to read as follows:

22 Section 508. A. The plan of unitization for each such brine
23 production unit or produced water unit ~~and unit area~~ shall be one
24 suited to the needs and requirements of the particular unit

1 dependent upon the facts and conditions found to exist with respect
2 thereto. In addition to such other terms, provisions, conditions
3 and requirements found by the Corporation Commission to be
4 reasonably necessary or proper to effectuate or accomplish the
5 purpose of this act, and subject to the further requirements hereof,
6 each such plan of unitization shall contain fair, reasonable and
7 equitable provisions for:

8 1. The efficient unitized management or control of further
9 development and operation of the brine production unit or produced
10 water unit area. Under ~~such~~ the plan the actual operations of the
11 unit shall be carried on by one of the owners of the right to drill
12 for and produce brine within the unit area as unit operator or in
13 the case of produced water associated with oil and gas production,
14 by the operator of the produced water unit approved by the
15 Commission. The designation of unit operator shall be by majority
16 vote of the owners of the right to drill for and produce brine in
17 the unit in accordance with their acreage ownership in the unit or
18 as designated by the Commission in the case of produced water
19 associated with oil and gas production;

20 2. The method and circumstances under which brine or effluent
21 from the unit, or from any other source, may be injected into the
22 brine common source of supply under the unit area or into other
23 formations;
24

1 3. The fair, just and reasonable compensation to be awarded to
2 any owner within the brine production unit or produced water unit
3 who does not wish to participate in development of the unit by
4 paying such owner's share of unit costs;

5 4. The fair, just and reasonable manner of participation for
6 any owner desiring to participate in the development of the brine
7 production unit or produced water unit by paying such owners share
8 of unit costs;

9 5. The fair, just and reasonable allocation and distribution to
10 each owner and the value of such owner's share of the brine,
11 including the usable resources extracted from the brine, and
12 solution gas, if any, produced from the unit;

13 6. The procedure and basis upon which wells, equipment and
14 other properties of the owners within the brine production unit or
15 produced water unit area are to be taken over and used for unit
16 operations, including the method of arriving at the compensation
17 therefor, or for otherwise proportionately equalizing the investment
18 of the several owners in the unit;

19 7. The method of apportioning costs of development and
20 operation between owners of brine and owners of solution gas, if
21 solution gas has also been unitized;

22 8. The time when the plan of unitization shall become
23 effective; and
24

1 9. The time when and conditions under which the unit shall or
2 may be dissolved and all affairs concluded.

3 B. No order of the Commission creating a brine production unit
4 and prescribing the plan of unitization applicable ~~thereto~~ to the
5 brine production unit shall become effective unless and until the
6 plan of unitization has been signed, or in writing ratified or
7 approved by record owners of the right to drill of not less than
8 fifty-five percent (55%) of the brine production unit area affected
9 thereby and by owners of record of not less than fifty-five percent
10 (55%) (exclusive of royalty interest owned by lessees or
11 subsidiaries of any lessee) of the royalty interest in and to the
12 brine production unit area and the Commission has made a finding
13 either in the order creating the unit or in a supplemental order
14 that the plan of unitization has been so signed, ratified or
15 approved by ~~lessees and royalty~~ brine owners of record owning the
16 required percentage interest in and to the brine production unit
17 area. Provided, however, in any instance where a ~~royalty~~ brine
18 owner has, through lease or other agreement, previously authorized
19 pooling or unitization of a size equal to or larger than the size
20 specified in the Commission order, said lease or other agreement
21 shall be deemed to be ~~such royalty~~ the brine owner's authorization
22 to unitize, and no additional signature, ratification or approval
23 shall be necessary from such owner, unless the lease provides for a
24 different production sharing formula than set out in the plan of

1 unitization. Further provided, however, in any instance where a
2 ~~royalty owner has~~ the brine owners of record have, through lease or
3 other agreement, previously consented to have the unit boundaries
4 and the allocation formula established by the Commission, said lease
5 or other agreement shall be deemed to be ~~such royalty~~ the brine
6 owner's authorization to unitize, and no additional signature,
7 ratification or approval shall be necessary from such owner. Where
8 the plan of unitization has not been so signed, ratified or approved
9 by ~~lessees and royalty~~ brine owners of record owning the required
10 percentage interest in and to the brine production unit area at the
11 time the order creating the unit is made, the Commission shall hold
12 such additional and supplemental hearings as may be requested or
13 required to determine if and when the plan of unitization has been
14 so signed, ratified or approved by ~~lessees and royalty~~ brine owners
15 of record owning the required percentage interest in and to the
16 brine production unit area and shall, in respect to such hearings,
17 make and enter a finding of its determination in such regard. In
18 the event ~~lessees or royalty~~ brine owners, ~~or either~~ of record,
19 owning the required percentage interest in and to the brine
20 production unit area have not so signed, ratified or approved the
21 plan of unitization within a period of six (6) months from and after
22 the date on which the order creating the brine production unit is
23 made, the order creating the unit shall be deemed vacated and of no
24 force and effect. The provisions of this subsection are hereby

1 expressly made inapplicable to the formation of a produced water
2 unit.

3 C. A participating brine owner shall have a one-time election
4 to sell, and any brine owner in the unit with brine refining
5 equipment shall have the obligation to buy, the brine produced from
6 the unit at the value determined by the Commission; provided
7 however, nothing herein shall require the purchasing brine owner to
8 purchase brine when it is not producing brine from the unit for its
9 own account.

10 D. A party that meets the requirements of subparagraphs a and b
11 of paragraph 10 of Section 502 of this title may take possession of,
12 and process, produced water for the extraction of consistent
13 elements that is otherwise destined for disposal, prior to obtaining
14 an order from the Commission creating the produced water unit, but
15 in that event, the applicant shall file an application for the
16 establishment of a produced water unit within sixty (60) days from
17 the initial acceptance of the produced water. Upon the filing of an
18 application for the establishment of a produced water unit and prior
19 to the adjudication of the Commission of such application, the
20 applicant may, or shall in the instance where the applicant has
21 accepted produced water prior to the approval of a produced water
22 unit, seek emergency relief from the Commission for the immediate
23 production, commercial extraction and sale of constituent elements
24 or reclaimed water from produced water derived from the associated

1 oil or gas well, and the Commission shall grant such relief upon a
2 showing that such emergency relief is reasonable and necessary under
3 the established facts and circumstances to prevent waste.

4 The applicant shall have the right to collect all proceeds from
5 the sale of brine or its constituent elements and reclaimed water
6 prior to the entry of a final order establishing the produced water
7 unit, provided that, unless otherwise provided by a written lease or
8 contract with the brine owner, a set royalty share of the gross
9 sales proceeds of the constituent elements and reclaimed water
10 extracted, saved and sold, shall be held in suspense by the
11 applicant for the benefit of any unleased brine owners within the
12 proposed produced water unit until the Commission enters a final
13 order establishing the produced water unit. Such royalty share and
14 the royalty options set forth in the order of the Commission
15 approving the produced water unit shall be set by the Commission at
16 prevailing fair market value rate and may be adjusted based upon all
17 reasonable evidence introduced including, but not limited to,
18 evidence of the highest royalty paid for any arm's length negotiated
19 brine leases within the produced water unit and any adjoining
20 produced water unit.

21 SECTION 9. AMENDATORY 17 O.S. 2021, Section 510, is
22 amended to read as follows:

23 Section 510. A. The Corporation Commission shall have
24 jurisdiction to increase the size of an existing brine production

1 unit or produced water unit area where it is shown, upon proper
2 application, notice and hearing that:

3 1. Land adjacent to the existing unit is underlain by the same
4 brine common source of supply as that found within the unit area;
5 ~~and~~

6 2. Inclusion of the additional land will either:

7 a. increase unit efficiency, ~~or~~

8 b. result in greater ultimate recovery of brine or
9 produced water, or

10 c. prevent waste; ~~and~~

11 3. Inclusion of the additional land is fair, just and
12 reasonable, both to parties owning brine or produced water interests
13 in the additional land and to parties owning interests in the
14 existing unit; and

15 4. The requirements of Section ~~9~~ 508 of this ~~act~~ title have
16 been met.

17 B. The Commission shall have jurisdiction to decrease the size
18 of an existing brine production unit or produced water unit where it
19 is shown, upon proper application, notice and hearing, that the land
20 to be excluded is of no value to the unit because:

21 1. It is not underlain by the brine common source of supply;
22 ~~and~~

23 2. Its presence does not contribute to more efficient unit
24 operations, by providing the site for an injection well or wells, or

1 by assisting in the conduct of waterflood operations, or by
2 otherwise increasing unit efficiency; and

3 3. Exclusion of the land is fair, just and reasonable.

4 SECTION 10. AMENDATORY 17 O.S. 2021, Section 516, is
5 amended to read as follows:

6 Section 516. Sections ~~2~~ 501 through ~~46~~ 515 of this ~~act~~ title
7 shall not have any effect on any existing brine, solution gas or
8 brine and solution gas units which have been created voluntarily or
9 by a judicial decree to the extent such unit was established as of
10 ~~the date of this act~~ September 1, 1990. Any existing brine or brine
11 and solution gas unit may be expanded using the provisions of this
12 act.

13 SECTION 11. AMENDATORY 17 O.S. 2021, Section 517, is
14 amended to read as follows:

15 Section 517. A. The proceeds derived from the sale of brine,
16 produced water, solution gas, or brine and solution gas production
17 shall be paid to persons legally entitled thereto, commencing no
18 later than six (6) months after the date of first sale, and
19 thereafter no later than ~~sixty (60) days~~ the last day of the second
20 succeeding month after the end of the ~~calendar~~ month within which
21 ~~proceeds are received for subsequent production~~ such production is
22 sold. In those instances where proceeds are not received for
23 disposition of brine, produced water, solution gas, or brine and
24 solution gas production due to venting, flaring, use for operations,

1 nonpayment from purchasers, or any other cause, the time periods
2 previously specified within which any required payment shall be paid
3 to the persons legally entitled thereto shall be measured from the
4 date on which such venting, flaring, use for operations, nonpayment
5 or other event occurred. Provided, proceeds from the sale of brine,
6 produced water, and solution gas from lands covered by a pending
7 application for unitization pursuant to this act shall be paid to
8 persons legally entitled thereto within six (6) months from the
9 entry of a final order of unitization, together with interest
10 thereon at the rate of six percent (6%) per annum to be compounded
11 annually, calculated from the date of first sale after the filing of
12 the application for unitization. Such payment is to be made to
13 persons entitled thereto by the operator of such production.
14 Provided, ~~such operator may remit~~ proceeds from production may be
15 remitted to the persons entitled to such proceeds ~~from production~~
16 ~~semiannually for the aggregate of six (6) months' accumulation of~~
17 ~~monthly proceeds of amounts less than Twenty-five Dollars (\$25.00)~~
18 annually for the twelve (12) months' accumulation of proceeds
19 totaling at least Ten Dollars (\$10.00) but less than One Hundred
20 Dollars (\$100.00). Amounts less than Ten Dollars (\$10.00) may be
21 held but shall be remitted when production ceases or by the payor
22 upon relinquishment of payment responsibility. Proceeds totaling
23 less than One Hundred Dollars (\$100.00) but more than Twenty-five
24 Dollars (\$25.00) shall be remitted monthly if requested by the

1 person entitled to the proceeds. Amounts less than Ten Dollars
2 (\$10.00) shall be remitted annually if requested by the person
3 entitled to the proceeds. Further provided, that any delay in
4 determining the persons legally entitled to an interest in such
5 proceeds from production caused by unmarketable title to such
6 interest shall not affect payments to persons whose title is
7 marketable. Provided, however, that in those instances where such
8 proceeds cannot be paid because the title thereto is not marketable,
9 the operator of such production shall cause all proceeds due such
10 interest to earn interest at the rate of six percent (6%) per annum
11 to be compounded annually, calculated from the last day of the
12 production month, until such time as the title to such interest has
13 been perfected. Marketability of title shall be determined in
14 accordance with the then current title examination standards of the
15 Oklahoma Bar Association.

16 B. The following information shall be included with each
17 payment made to a brine owner from the sale of brine:

- 18 1. Unit identification;
- 19 2. Month and year of sales included in the payment;
- 20 3. Total volume of production from the unit of brine, produced
21 water, or solution gas and in the case of a brine production unit,
22 the concentration of chemical substances contained therein and
23 volumes extracted therefrom;

1 4. Owner's interest, expressed as a decimal, in production from
2 the unit;

3 5. Total value of extracted chemical substances and solution
4 gas, including the price per unit of measurement at which the
5 products were sold;

6 6. Owner's share of the total value of sales prior to any
7 deductions;

8 7. Owner's share of the total value of sales after any
9 deductions; and

10 8. A specific detailed listing of the amount and purpose of any
11 deductions, including, but not limited to BTU adjustments and taxes,
12 from the gross proceeds due to the owner.

13 C. Any operator that violates this section shall be liable to
14 the persons legally entitled to the proceeds from production for the
15 unpaid amount of such proceeds with interest thereon at the rate of
16 ~~twelve percent (12%)~~ fifteen percent (15%) per annum ~~to be~~
17 ~~compounded annually~~, calculated from the last day of the production
18 month.

19 D. The district court for the county in which the unit is
20 located shall have jurisdiction over all proceedings brought
21 pursuant to this section. The prevailing party in any proceeding
22 brought pursuant to this section shall be entitled to recover any
23 court costs and reasonable expert witness and ~~attorney's~~ attorney
24 fees.

1 E. All payments under this section to owners or any other
2 person or governmental entity legally entitled to the payment may be
3 made by electronic means including, but not limited to, electronic
4 funds transfer, Automated Clearing House (ACH), direct deposit, wire
5 transfer, or any other similar form of transfer, upon the mutual
6 written consent of the payor and payee.

7 SECTION 12. AMENDATORY 17 O.S. 2021, Section 519, is
8 amended to read as follows:

9 Section 519. Before entering upon a site for brine well
10 drilling, except in instances where there are non-state resident
11 surface owners, non-state resident surface tenants, unknown heirs,
12 imperfect titles, surface owners, or surface tenants whose
13 whereabouts cannot be ascertained with reasonable diligence, the
14 operator shall give to the surface owner a written notice of his or
15 her intent to drill containing a designation of the proposed
16 location and the approximate date that the operator proposes to
17 commence drilling.

18 Such notice shall be given in writing by certified mail to the
19 surface owner. If the operator makes an affidavit that he or she
20 has conducted a search with reasonable diligence and the whereabouts
21 of the surface owner cannot be ascertained or such notice cannot be
22 delivered, then constructive notice of the intent to drill may be
23 given in the same manner as provided for the notice of proceedings
24 to appoint appraisers set forth in Section ~~22~~ 521 of this ~~act~~ title.

1 Within five (5) days of the date of delivery or service of the
2 notice of intent to drill, it shall be the duty of the operator and
3 the surface owner to enter into ~~good-faith~~ good-faith negotiations
4 to determine the surface damages.

5 The provisions of Sections 519 through 522 of this title are
6 hereby expressly made inapplicable to the formation of a produced
7 water unit.

8 SECTION 13. It being immediately necessary for the preservation
9 of the public peace, health or safety, an emergency is hereby
10 declared to exist, by reason whereof this act shall take effect and
11 be in full force from and after its passage and approval.

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